

The small-lot pipeline is arriving on a 60-day clock. Here is fee financing that never touches your general fund.

Senate Bills 684 and 1123 now require ministerial approval of subdivisions of ten or fewer lots, and the projects are coming. Their builders hit the fee counter with cash or hard money, and some projects stall there. INSITE proposes the structure your peers already use at larger scale: a Community Facilities District under the Mello-Roos Act, formed once, that small projects annex into administratively.

WHAT THE CITY DOES, ONCE

- 👤 Adopt local goals and policies (Government Code 53312.7)
- 📄 Form one Master District with a recorded future annexation area
- 🛡️ Then approve each project's annexation as it is filed; the council keeps every approval

WHAT THE CITY NEVER DOES

Lend, guarantee, budget, or staff the program. Notes are repaid only from the special taxes on participating parcels. Elk Grove's own staff report on the existing statewide programs puts it plainly: the city acts as an intermediary and "incurs no financial liability or risk by participating."

RESIDENT PROTECTIONS, BUILT INTO LAW AND POLICY

- The tax is voluntary: on undeveloped land, the landowner is the elector and consents in writing
- Once a home is occupied, its tax cannot rise more than 10 percent due to a neighbor's delinquency (Gov. Code 53321(d))
- Every owner holds a defined prepayment right
- Program policy requires value of four times the debt, stricter than the statute's three (53345.8), with appraisals to State Treasurer (CDIAC) standards
- Total tax burden benchmarked at 2 percent of home value, per the policy of the state's largest issuer

Working precedent. The annexation architecture runs today in Escondido, Chula Vista, and Roseville; statewide fee financing is proven by CSCDA's SCIP and CMFA's BOLD. INSITE's role is a program administrator focused on the 2-to-50-lot segment those programs are not built around.

The ask: a thirty-minute briefing for finance and community development staff. HGF Management Company will bring the documents.

Sources: Gov. Code 53311 et seq., 53321(d), 53345.8; CDIAC appraisal standards; Elk Grove City Council staff report (Oct. 2021); CSCDA and CMFA program pages. Full citations: INSITE Claims Register.

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